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A CASE STUDY OF POP MART: INTERNATIONALIZATION STRATEGY AND IP-DRIVEN COMPETITIVE ADVANTAGE

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1.0 Introduction

1.1 Company Overview

Pop Mart International Group Co., Ltd. (hereinafter referred to as "Pop Mart") was founded in 2010, dedicated to stationery, gifts and trendy merchandise retail. The year of 2015 was a milestone for the company as it shifted the core business to collectible toys and blind boxes, and officially started to plunge into the trendy toy field. This strategic reorientation was driven by the needs of young customers, who at that time expressed an increasing desire for products which were customized, collectable and socially aware. The company in 2016 also entered into a strategic cooperation agreement with designer Wang Xinming, unveiling its first trendy toy Molly and a constellation-themed blind box with the character of twin-tailed, big-eyed girl. With the rapid rise in popularity of these products, they gradually became a core pillar of the brand's product matrix. In 2017, the company hosted the first large-scale trendy toy exhibition in mainland China. In 2018, it launched its first copyrighted IP trendy toy series, the "Mickey Family Sitting" series. In 2019, Pop Mart rose to first place in the Chinese trendy toy retail market, with a market share of 8.5%. In 2020, Pop Mart's total sales during the Double Eleven shopping festival exceeded 142 million yuan, ranking first in the Tmall toy category. In 2021, its first overseas store in the North American market opened in Canada, and the sub-brand Paqu was established that same year.

Following its transformation, Pop Mart gradually built a trendy toy ecosystem integrating "IP incubation - product design - production - global distribution." As of 2023, the company had more than 80 IPs in its portfolio. This includes in-house IPs such as Dimoo, Skullpanda and Little Monster, as well as licensed IPs obtained through partnerships with global licensors. And its products have been from blind boxes but expanded to figurines, plush toys, accessories and lifestyle products, satisfying different consumer needs. Pop Mart was successfully listed on the Hong Kong Stock Exchange in December 2020 and was named the "China's first trendy toy listed company," which solidified the financial base for its global expansion. By 2023, Pop Mart had developed a global offline network of over 350 stores, including more than 80 overseas stores, and a strong online presence through e-commerce and official website.

1.2 Corporate Vision and Mission

Pop Mart international is to “be the world’s leading trend culture and entertainment company “ and its mission was to “make trends, deliver happiness.” This positioning underscores the company’s desire to transition from traditional toy maker to cultural brand, engaging consumers through intellectual property (IP). Distinct from traditional toy brands that revolve around product sales, Pop Mart sells the emotional value and cultural meaning of its IPs. Its works and designs are intended to evoke joy and inspire users to express identity and connect with others.

The company also has a broader mission of promoting global cultural exchange. Pop Mart takes Chinese trendy toy culture to the world and infuses a wide variety of global culture elements into it through creating IPs that represent what consumers like, that are flexible to the market demands. Collaborations with international artists and brands, for instance, enable a thoughtful blend of Eastern and Western design aesthetics, helping Pop Mart gain appreciation from consumers across different cultural backgrounds. This dual orientation of "cultural expression + consumer interaction" has shaped Pop Mart's strategic direction, propelling it to become a globally renowned brand and establishing an emotional connection with young people worldwide.

1.3 International Background

Pop Mart's international journey began in 2017. Pop Mart's overseas expansion can be divided into three key phases, driven by both internal capability accumulation and external market opportunities.

1.3.1 Initial Exploration Phase (2017-2018)

To mitigate cultural and operational risks, Pop Mart chose to begin its first overseas foray into Chinese-speaking regions. In 2017, Pop Mart penetrated the Hong Kong and Taiwan markets through cross-border e-commerce platforms and local distributors, gauging consumers’ response to its IPs. Positive responses from these areas gave the company the confidence to enter the mature East Asian toy market. The next year, Pop Mart opened its first international flagship store in the Harajuku district of Tokyo, a strategically important site. The shop attracted hordes of locals and tourists alike, and special edition Molly dolls were often completely sold out within hours of release. That same year, Pop Mart took part

in the Tokyo Toy Show, marking its debut at a major international exhibition and laying a strong groundwork for future partnerships with retailers and collaborators worldwide.

1.3.2 Regional Expansion Phase (2019-2020)

After establishing a foothold in the East Asian market, Pop Mart turned to the second largest market for collectible toys in the world—Europe and North America. In 2019, the brand added pop-ups in London, UK, and Berlin, Germany to the pop-up repertoire to boost brand exposure in pen urban areas. And it worked with toy retailers in other countries, Hamleys in the UK and Galeries Lafayette in Germany. Pop Mart's novel blind box system and attractive IP designs found an enthusiastic reception in the European market, in particular with Gen Z and millennial consumers with a high desire for personalized products that were social media-friendly.

In 2020 despite the COVID-19 pandemic restrain, Pop Mart made accelerated move into the North America market via digital channel. The company created official stores on Amazon and Shopify, participating in the U.S. and Canadian markets. To stimulate online growth, Pop Mart also took part in virtual events of major conventions such as New York Comic Con, launching exclusive IP products for North America. During the pandemic, increased consumer demand for home entertainment products further boosted the company's overseas sales.

1.3.3 Global Deepening Period (2021-2025)

Pop Mart since 2010 has been based on "deepening the existing markets + extending to new regions": In 2021, he first opened a flagship store in Seoul, South Korea and launched localized IP products in cooperation with Korean artists, based on the purchasing power of the East Asian market, the company confirmed that it was suitable for local culture; in 2022, he made his debut in the Southeast Asian market, with the opening of stores in Singapore and Malaysia, aiming at the middle class, constantly expanding and young consumers in the area.

1.4 Reasons for Choosing Pop Mart

1.4.1 Industry Representativeness

As a leading brand in China's trendy toy industry, Pop Mart has become a representative of emerging consumer tracks in emerging markets. The trendy toy industry is a rapidly expanding segment globally, with a compound annual growth rate of 15% from 2018 to 2023. Pop Mart's journey from a local retailer to a global cultural brand provides a typical example for analyzing "new enterprise globalization" in emerging industries, especially reflecting the internationalization potential of Chinese consumer brands.

1.4.2 Rapidly Developing and Replicable Internationalization Path

Pop Mart has achieved a significant global layout in the eight years from 2017 to 2025, a development rarely seen. Its "IP" Pop Mart's "driven + asset-light expansion" model, combining offline stores, cross-border e-commerce, and partnerships, provides valuable experience for other new companies entering the global market. Pop Mart's internationalization path, centered on IP and brand building, has become a new paradigm for the globalization of the creative industry.

1.4.3 Data is available

As a listed company, Pop Mart's detailed financial and operational data are readily available, including its overseas revenue share, regional market performance, and expansion plans. This data supports the "market share analysis, penetration strategy research, and growth potential assessment" requirements of the assignment. Furthermore, industry reports from organizations such as the China Toy and Juvenile Products Association (2024) and Niko Partners (2021) provide third-party verification of market trends and the brand's industry position.

1.4.4 Significant future growth potential

The global trendy toy market is projected to maintain a CAGR of 12% until 2028, driven by rising incomes among young consumers and the popularization of collecting culture driven by social media. Pop Mart is continuously expanding into untapped markets with IP incubation capabilities, and its future growth potential is clear. Analyzing its market potential allows for a comprehensive assessment of the effectiveness of the new company's

internationalization strategy, meeting the requirements of the assignment. The requirement to "demonstrate future potential through market penetration and expansion" is emphasized.

2.0 Uniqueness & IP Strategy

2.1 Product Features

Pop Mart's core product feature lies in its deep integration of a unique blind box mechanism with strong IP attributes. By setting up "hidden items" with a probability of only 0.7%, the brand successfully stimulates consumers' collecting and gambling instincts, continuously creating excitement and surprise when opening the boxes. These trendy toys, designed by artists and well-known IPs, precisely cater to the aesthetic and emotional needs of the younger generation, while the series-based release strategy further strengthens users' collecting motivation. Simultaneously, repeat purchases drive exchanges and social interactions, transforming the products from mere toys into social carriers with subculture characteristics (Liu et al., 2021).

Ultimately, this composite model of "emotional value + social interaction + collecting motivation," supported by a low-cost, approximately 60% high-margin business structure, enables Pop Mart to achieve a repurchase rate as high as 58%, becoming its most core and most difficult-to-replicate competitive advantage (Liu et al., 2021).

2.2 Original & Collaboration IP

A healthy IP ecosystem essentially uses Original IP as the "core engine" to build an unshakeable foundation and long-term value for the brand, while Collaboration IP acts as a "booster," continuously injecting freshness and expanding the audience and influence (Song, 2023).

Just as Pop Mart's core strategy exemplifies—building a character universe with its own IPs as the pillar and collaborative IPs as the expansion—its own IPs (such as the emotionally open Molly, the melancholic hybrid Skullpanda, the dreamy and soft Dimoo, and the rebellious and quirky Labubu) have become the cornerstone for establishing deep emotional connections between the brand and global users through culturally mixed aesthetics and open emotional narratives. Simultaneously, the brand actively collaborates with independent artists, local KOLs, and well-known IPs as a strategic co-creation strategy, continuously revitalizing IPs and achieving cross-platform traffic generation (Zhao, 2025).

2.3 Cross-industry Collaboration

Pop Mart injects new vitality into its IPs, attracts new users, and enhances its brand image through cross-industry collaborations. Simultaneously, it creates a sense of scarcity through limited-edition or co-branded products, stimulating fans' purchasing desires (BINCAN, 2024). These collaborations not only broaden the brand's audience but also allow IPs like Molly and DIMOO to radiate new life in different cultures and scenarios.

Pop Mart's cross-industry collaborations mainly take three forms: First, collaborating with independent artists, such as Yong Qingsheng and Hwang Kun-hee, to launch limited-edition series with unique styles, enriching the collectible universe; second, collaborating with local KOLs or artists, such as the collaboration with Indonesian beauty influencer Jasmine White in October 2024 to promote the new Skullpanda series, integrating existing IPs into the local cultural context and strengthening the emotional connection with fans; and third, collaborating with well-known IPs or brands, such as Harry Potter, Disney, and Naruto, leveraging the popularity of established IPs to attract fans, achieve cross-traffic generation, and expand the market and sales (Zhao, 2025).

2.4 Customer Value

Customer value is the difference between the perceived benefits of a product and the costs incurred by the customer. Businesses can create value by improving service quality, optimizing the experience, and enhancing trust, thereby increasing customer satisfaction and loyalty (Mahajan, 2020).

A study by (Zhang & Phakdeephirot, 2023) points out that the success of Pop Mart's blind box marketing lies in building a multi-dimensional customer value system: In terms of economic value, its affordable price of 59-69 yuan and the "lottery effect" brought by hidden items work together to lower the decision-making threshold and create expectations of high returns; in terms of IP value, the emotional image centered on MOLLY has established a deep emotional connection with consumers, which is the cornerstone of brand loyalty; in terms of symbolic value, the sense of accomplishment from collecting rare items and the recognition gained from displaying them in social circles make it an important "social currency"; in terms of social value, the player community built through the "Paqu" APP and trendy toy exhibitions satisfies consumers' needs for belonging and circle recognition. These four value

dimensions work together to influence consumers' emotional impulses and long-term loyalty, ultimately driving sustained purchasing behavior.

3.0 Analyzing Pop Mart's Competitive Advantages and Customer Value

3.1 Competitive Advantage

The reason why Pop Mart has been able to maintain its leading position in the figurine industry is largely due to its unique competitive advantages.First of all, the company possesses a rapid capability for IP development.Whether it is launching a new image or upgrading an existing series, Pop Mart can respond promptly to market demands in accordance with the changes in trends.This rapid development pace keeps the brand always fresh and gives consumers new expectations every quarter.At the same time, the company collaborates with numerous designers and artists to infuse more creative elements into the products, ensuring that each IP retains its unique style (Qi, 2021).

Secondly, Pop Mart has a very active fan community.Whether it is online discussions, offline activities, or spontaneous exchange meetings, the interactions among fans are extremely frequent.This kind of community culture makes the brand not only about "purchase", but also about "participation". Fans form emotional connections through sharing and communication, which also promotes the development of the "fan economy".Thanks to these advantages, Pop Mart has maintained a stable position in the highly competitive market and successfully attracted more consumers from around the world.

3.2 Customer Value

The value that Pop Mart offers to consumers comes not only from the products themselves, but also from emotions, surprises and social experiences.The core pleasure of a blind box lies in the "uncertainty".When consumers open the box, they will experience a brief sense of anticipation and excitement. This simple emotional value is something that other ordinary goods cannot offer.For many people, this is a way to relax and relieve stress, adding a little bit of cute and meaningful rituals to their daily lives.

The collection feature also enhances the value of the product.Many consumers hope to collect the entire series or obtain the rare hidden editions.When they finally find the style they like,

they will experience a sense of satisfaction and achievement.This emotional value makes the product no longer just a toy, but a collectible with personal significance.

In addition, Pop Mart also enables consumers to have more connections through social interaction.Fans can meet people with similar interests by sharing opening photos on social platforms, attending events, or exchanging offline.The social atmosphere brought by the brand makes consumers feel a sense of belonging and also strengthens their long-term relationship with the brand (Zhang, 2024).

3.3 Brand Value

The brand value of Pop Mart comes from creativity, quality and continuous interaction with fans.The company maintains a high standard in both design and production, from the materials used, the coating process, to the packaging details, all of which aim for consistency and professionalism.This helps consumers build trust in the brand and makes them willing to make regular purchases (Lyu, 2025).

In addition, Pop Mart maintains long-term communication with its fans through exhibitions, community content, and online theme activities.This kind of interaction not only brings the two parties closer together, but also makes the fans feel the brand's dedication and sincerity.When a brand is willing to listen to the voices of its fans, the fans will also be more willing to invest their emotions (GUANHUA, 2023).

Overall, the brand value of Pop Mart is based on creativity, guaranteed by quality, and driven by fan culture.It is precisely this combination that has enabled the brand to continuously grow and expand in the global pop culture toy market.

4. 0 Market Expansion Overview

4.1 International Market Landscape

During the last several years, the world markets have seen the growth of the popularity of designer toys and collectible IP products. This is particularly pronounced in younger consumers who are consuming items of pop culture, limited-edition and artistic designs. Due to this increased interest, the firm gradually realized East Asia, Europe as well as North America as its core international target areas.

The first overseas markets to enter were in East Asia (primarily Japan, South Korea, and Singapore). The products are already natural with the local consumer habits as these countries already have strong fan bases behind character culture and collectible art (Lee, 2020). Europe also experienced a consistent increase in the number of places such as the United Kingdom and Germany where the industry was supported by more exhibitions and lifestyle stores (Thompson, 2022). In the meantime, North America, and particularly the United States and Canada, provided a huge and varied consumer market that is already accustomed to street culture and innovative products. The retail systems are also well-developed in these regions, so they are also appealing to expand (Smith & Ramirez, 2021).

In these foreign markets, one could see a number of similarities: consumers were ready to pay more on original IP, items with limited edition received a high level of interest, and the community of fans on the Internet contributed significantly to setting trends. These common factors facilitated the development of the international presence of the company.

4.2 Entry Modes

To achieve a successful entry into various markets, the company applied more than one entry strategy rather than a single entry strategy. The company established flagship or concept stores in more developed markets like Japan and South Korea and in the U.S. These outlets assisted in enhancing brand image and gave the consumers a chance to get a taste of the products. They were also used as exhibition, event and collaboration space, which promoted greater interaction among fans (Nguyen, 2019).

Meanwhile, online channels were fundamental. The company relied on domestic e-commerce and cross border online stores to target consumers who like to purchase goods online. This strategy proved particularly successful in the context of the pandemic when most of the shoppers had to greatly depend on online platforms (Kaur and Lee, 2021).

The other significant mode of entry was the development of partnerships. Collaboration with the local retailers, department stores, and organizers of the pop-up events would allow the company to enter the markets quicker and with less risk. Such alliances also enabled this firm to gauge customer responses prior to investing in massive operations (Chen, 2020).

4.3 Marketing Strategies

The overseas marketing strategy of the company is largely aimed at the social media interaction, exhibitions, and the storytelling according to the IP characters. The social platforms (Instagram, Tik Tok, etc.) have a tremendous impact on the younger demographics. The company does not rely on massive advertising advertising and focuses on creative images, brief videos, posts of fans and interactive comments to establish a more authentic relationship with customers (Martinez, 2022).

The other key strategy is offline events. Toys fairs and local art fairs are held internationally, as well as in their own countries, where the fans can meet new products directly and engage in exclusive actions. The cooperation with the local artists or cultural icons is also beneficial as the company can fit the local style of the markets (Wong, 2021).

They also have themed campaigns, such as seasonal releases, limited blind-box drops, and cross-brand collaborations, which are operated by the company. These advertising campaigns assist in enhancing emotional attachment of consumers with the IPs to make the products become a component of a lifestyle instead of mere collectibles. Such emotional branding is becoming more significant in the world markets nowadays (Harris, 2023).

4.4 Market Share

Pop Mart's share in the trendy toy market is split between the domestic and international markets. Pop Mart has a leading position in the domestic market, and it has great potential for expansion in the international market, albeit still in the early stage.

4.4.1 Domestic Trendy Toy Market Share: A Leading Position with 30%-40%

According to the "Research Report on the Development of China's Trendy Toy Industry" released by the China Toy and Juvenile Products Association (2024), the Chinese trendy toy market reached 68 billion yuan in 2023. Pop Mart, with a market share of 30%-40%, has ranked first in the industry for six consecutive years, far exceeding its competitors. This share is mainly due to three core advantages: IP, channels, and user stickiness. At the IP level, the top IPs of Pop Mart account for the vast majority, about 70%, of its domestic revenue. These IP are still very popular with constant refreshing of content. Sales of the Molly IP at home exceeded 50 million yuan in 2023. With a market value topping 10 billion yuan, Pop Mart

was the first “10 billion yuan-level trendy toy IP” in China, and the first to directly replenish its market share. Channels-wise, as of the end of 2023, Pop Mart had more than 270 offline stores and 1,800 robot stores in China. Online sales represented 45% of its domestic revenues. Its omnichannel strategy has attracted more than 30 million registered users in China and boasts a repurchase rate of 58% among its users, much higher than the industry average of 35%. Regarding the competitive landscape, the market share of second-tier brands in China is less than 10%, and they mostly focus on niche markets, making it difficult to significantly impact Pop Mart, a company with comprehensive advantages.

4.4.2 International Market Share of Collectible Toys: Growth Performance During the Expansion Phase

Unlike the clearly defined share in the domestic market, Pop Mart's international market share lacks unified industry statistics, primarily because its international business is still in the "expansion phase," and the global collectible toy market is highly fragmented. However, by extrapolating from regional market performance and industry scale, the growth trend of its international share can be clearly observed:

In terms of regional contribution, Pop Mart's overseas revenue reached 3.86 billion yuan in 2023, accounting for 25% of its total revenue. Based on data from Niko Partners' (2021) "Global Collectible Toy Market Report," the global collectible toy market size was approximately US$280 billion in 2023, with the market outside China accounting for approximately US$220 billion. This suggests its global market share is approximately 0.25%-0.3%, a low percentage, but with significant growth. The compound annual growth rate of overseas revenue from 2021 to 2023 reached 42%, far exceeding the global collectible toy market's average annual growth rate of 12%, indicating a rapid increase in its international share. In key regional markets, Pop Mart's market share shows notable variation. In East Asia, the company has established a solid foothold. It accounted for about 1.2%-1.3% of the local trendy toy market in Japan after bringing in 820 million yuan in 2023, becoming one of the overseas toy brands that occupies the largest market share in the country. Its flagship store in Harajuku, Tokyo and Myeongdong, Seoul sell approximately 3 million yen and 25 million won per month respectively, and limited IP products ranks regularly among the top ten in the local weekly trendy toy sales charts.

It remains at about 0.1 to 0.2% in Europe and North America, although it is increasing rapidly. 2023 saw North America revenue growth of 65% year over year and its Amazon store boasted twice as many returning customers as the year prior—growth fueled by an expansion model of “e-commerce + pop-up store”.

In Southeast Asia, where expansion only began in 2022, current market share is below 0.05%. Nevertheless, thanks to a large youth population and rising interest in trendy toys, revenue surpassed 200 million yuan in 2023, laying a foundation for future market share growth.

4.4.3 The Industry Significance and Future Direction of Market Share

30%-40% leading position in the domestic market+0.25%-0.3% in the overseas market" Pop Mart's market share was telling of its dominance. The company's very high domestic market share means its cash flow is stable and its IP well known - allowing it to continue investing in the world market; its rapidly growing share in the world market demonstrates that its IP and business model works across cultural boundaries.

4.5 Partnership Channels

Pop Mart's partnership channels encompass retail, pop-up stores, IP licensing, cross-border e-commerce, and exhibitions. IP partnerships are a key channel. Jian (2022) points out that Pop Mart's IP sources fall into three categories: proprietary IPs (such as Molly, SKULLPANDA, and Dimoo, acquired or internally designed), exclusive IPs (obtained through exclusive licensing agreements with artists), and non-exclusive IPs (obtained through limited-term licensing agreements from other IP owners). Acquiring both exclusive and non-exclusive IPs is a crucial process in establishing its partnership channels. The company also collaborates with department stores, trendy concept stores, and toy chain stores to quickly enter local markets; provides interactive experiences through pop-up stores and themed exhibitions to enhance social media buzz; expands into international markets through Amazon, Shopify, Tmall Global, and overseas agents; and participates in international exhibitions such as DesignerCon and STS to increase global brand awareness and build a stable fan community, achieving a multi-layered channel layout integrating online and offline, domestic and international channels.

5.0 Market Potential and Future Development

5.1 Market Penetration

At present, Pop Mart adopts the core penetration strategy of "domestic expansion and international deepening," aiming to expand its reach while enhancing user loyalty.

5.1.1 Domestic: Securing Traffic in Second- and Third-Tier Cities

The brand takes advantage of the concentrated commercial areas and dense population of young people in second- and third-tier cities, and quickly attracts traffic through "pop-up stores + vending machines + campus cooperation". For example, the pop-up store in Guanqian Street in Suzhou launched a city-exclusive version, combining Molly with garden elements. The vending machines in universities and office buildings adopted a 29-yuan price strategy. In a certain university in Wuhan, the lunchtime daily sales reached nearly 200 orders. In 2024, the monthly sales of terminals in second-and third-tier cities were on average 20% higher than those in first-tier cities. In addition, it collaborated with the trendy club of Wuhan universities to hold exchange events and collect students' design works. Among them, 3 designs were included in the brand's creative library, which not only reduced the reach cost but also enhanced the participation sense of young people towards the brand.

5.1.2 International: In-depth Operations in Key Cities

In the mature markets of East Asia and Europe, Pop Mart has built a stable user base by relying on its own stores and various scenarios. The Shibuya store in Tokyo has set up a localized theme experience area, featuring elements such as neon lights on the Molly photo wall and DIY workstations made of paper materials. In 2023, these channels accounted for approximately 30% of international sales. The Instagram community operated by the Korean team also saw significant growth. Through the "share your experience and win a prize" campaign, the number of followers increased from 500 to 3,000. The unpacking and sharing process generated continuous popularity.

5.2 Market Expansion

Future expansion will focus on "IP localization and expansion + full-scenario channel layout," driving the brand's transformation from simple product output to in-depth local cultivation.

5.2.1 IP Side: Cross-border Collaboration + Local Co-creation

Pop Mart is advancing along two lines: "global top IP collaborations + local designer co-creation." On the one hand, collaborations with high-profile IPs like *One Piece* and *Marvel* create regionally exclusive products. For example, the Japanese version of Luffy incorporating kimono elements sold out within a week of release, boosting brand search volume. On the other hand, collaborations with local creators in Southeast Asia and the Middle East design exclusive series, such as the "Siam Mythology" series in Thailand and the "Desert Fairy Tale" series in the UAE, both achieving impressive sales due to their alignment with local culture.

5.2.2 Channels: Global E-commerce + Diverse Scenarios

E-commerce differentiation is based on region: Southeast Asia focuses on low-priced packages and local language packaging, while Europe and America emphasize collectability, with limited editions including serial numbers and certificates. Scenario-based collaborations bring trendy toys into everyday life—for example, Carrefour Dubai's "Chocolate + Dimoo" combo sold 30,000 sets in its first week, and the IP-themed rooms at the Avani Hotel in Thailand achieved 100% occupancy. Fnac collaboration sets and Dubai pop-up exhibitions also drove significant sales. In 2024, e-commerce accounted for 45% of international sales, with scenario-based collaborations effectively reaching families and tourists.

5.3 Potential Analysis

Pop Mart's growth potential mainly stems from three aspects:the industry prosperity, the consumption characteristics of Generation Z, and its standardized system.

5.3.1 Industry Dimension: Rapid Global Growth and Obvious Structural Opportunities

The global figurine market is projected to reach 48.2 billion US dollars by 2025, with a compound annual growth rate of 12.3%. The growth rates in Asia-Pacific（excluding China）, the Middle East and Africa, and Europe are even higher. The penetration rate of figurines among young people in overseas markets is only 18%, which is much lower than that in China.The penetration rate in Southeast Asia has long been low, making it an obvious potential growth market. Although there is Funko in Europe, the luxury-priced blind boxes still remain a gap. Meanwhile, the cross-border scenarios such as "cultural toys + tourism/food and beverage" have grown rapidly, creating space for brands to further penetrate the market.

5.3.2 Customer Dimension: Generation Z's Interest-Based Consumption + Social Media Spread

There are over 2 billion Z Generation individuals worldwide, who are the main consumers of 1, trendy toys. Their common characteristics include a willingness to pay for their interests and a preference for social sharing. A survey in the United States shows that 30% of their monthly interest expenses are spent on collecting; students in Southeast Asia have a high acceptance of budget packages; young users in the Middle East are more concerned about cultural elements."Desert Fairy Tale Series" buyers are mostly 18-25 years old and actively share. These characteristics have enabled Pop Mart to achieve sustained popularity and natural dissemination.

5.3.3 Model Dimension: Standardized System and Localized Adaptation in Parallel

Pop Mart has formed a complete standardized system of "IP-Production-Marketing," but it can also flexibly adapt to local conditions. Quarterly updates of its own IPs and regionally differentiated designs for co-branded IPs maintain freshness. On the production side, it relies on factories in Dongguan and Vietnam to increase flexible production capacity and ensure rapid delivery; on the marketing side, it adjusts content according to the region, such as focusing on key holidays in the Middle East and favoring designer stories in Europe and America, making localization within the standardized framework more efficient.

5.4 Risks and Challenges

During the process of actively expanding its overseas market, Pop Mart also encounters some risks and challenges that cannot be ignored.

First of all, cultural differences are a major challenge for companies when they embark on the process of globalization.Consumers in different countries have significant differences in terms of fashion culture, aesthetic styles and collection habits.Some IPs are very popular in China, but they might not be understood or accepted in overseas markets.If a brand fails to accurately grasp the local cultural characteristics, its products may struggle to gain influence and may even encounter the problem of unclear positioning.Therefore, when entering a new market, the company needs to spend more time studying the local culture and adjusting the expression of its IP to make the product more in line with the emotions and preferences of local consumers (Cai, 2020).

Secondly, overseas logistics and inventory management also pose a practical challenge.Trendy toy products are updated frequently, come in various styles, and have short inventory cycles. However, overseas shipping takes a long time and incurs high costs. If the prediction is inaccurate, there may be inventory buildup or shortages of popular items.Especially in the context of the expansion of cross-border e-commerce and global retail operations, how to reduce logistics time, control transportation costs, and ensure product quality is a problem that the company must continuously address.

Finally, Pop Mart also faces the challenge of intensified competition.More and more international brands are entering the toy trend market, while local original brands are also growing rapidly.They have certain advantages in terms of design style, market pricing, or community culture.In this situation, Pop Mart not only needs to maintain the pace of innovation for its own IP, but also needs to continuously enhance the interaction between the brand and its fans.If creativity stalls or product updates slow down, the market share could be quickly seized by competitors (Qi, 2021).

Overall, although Pop Mart has a strong brand foundation and a large fan base, cultural differences, international supply chain management, and intense competition will all exert pressure on its global expansion.How to respond more flexibly to these challenges while maintaining the brand's unique characteristics will determine whether the brand can achieve stable development in the international market in the future.

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